

Table 6: Extension 3 — Financial Development and Safe Asset Production Capacity (1980–2022)

|                               | (1) Baseline          | (2) Credit            | (3) Mkt cap           | (4) FinDev idx        | (5) Full              |
|-------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| (Intercept)                   | 0.443<br>(0.330)      | 0.846**<br>(0.413)    | 0.687*<br>(0.361)     | 0.809**<br>(0.386)    | 0.552<br>(0.401)      |
| FDI assets / GDP              | -0.606*<br>(0.345)    | -0.398<br>(0.366)     | -0.474<br>(0.352)     | -0.412<br>(0.358)     | -0.088<br>(0.373)     |
| FDI liabilities / GDP         | 0.524<br>(0.322)      | 0.340<br>(0.339)      | 0.407<br>(0.327)      | 0.352<br>(0.332)      | 0.039<br>(0.348)      |
| Output volatility (HP)        | -24.981***<br>(8.358) | -29.407***<br>(8.721) | -27.977***<br>(8.480) | -29.250***<br>(8.589) | -25.486***<br>(9.580) |
| Private credit / GDP (std.)   |                       | -0.486<br>(0.304)     |                       |                       |                       |
| Stock market cap / GDP (std.) |                       |                       | -0.278<br>(0.174)     |                       |                       |
| FinDev composite (std.)       |                       |                       |                       | -0.430*<br>(0.244)    | -0.023<br>(0.361)     |
| Intangible intensity (std.)   |                       |                       |                       |                       | -0.388<br>(0.332)     |
| Rule of Law                   |                       |                       |                       |                       | -0.105<br>(0.247)     |
| OPEC dummy                    |                       |                       |                       |                       | -1.251*<br>(0.643)    |
| HIPC dummy                    |                       |                       |                       |                       | 0.678<br>(0.511)      |
| Num.Obs.                      | 78                    | 78                    | 78                    | 78                    | 78                    |
| R2                            | 0.132                 | 0.162                 | 0.162                 | 0.168                 | 0.268                 |
| R2 Adj.                       | 0.097                 | 0.116                 | 0.116                 | 0.122                 | 0.183                 |

Notes: Dependent variable: cumulative dark matter exports over 1980–2022, divided by end-year GDP. The FinDev composite index is the mean of z-standardised log(private credit/GDP) and log(stock market capitalisation/GDP). Column (5) includes financial development, intangible intensity and institutional controls jointly. All variables winsorised at the 1% level. \* p<0.10, \*\* p<0.05, \*\*\* p<0.01.